

Presentation ↴

00 Status

905 Agriculture

205 Presentation of Financial Statements

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

905-205-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
	Cooperatives	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
	Member of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
	Nonmember of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
	Patrons	Added	Accounting Standards Update No. 2014-06	03/14/2014
	905-205-05-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	905-205-05-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	905-205-15-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014

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45-1

Amended

Accounting Standards Update No. 2014-06

03/14/2014

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

905-205-05-1 This Subtopic provides guidance for the presentation of financial statements for entities in the agricultural industry. The guidance for agricultural cooperatives is presented in the Cooperatives Subsections.

Cooperatives

905-205-05-2 The Cooperatives Subsections provide guidance for the presentation of financial statements for cooperatives in the agricultural industry.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

905-205-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the General Subsection of Section 905-10-15.

Cooperatives

> Overall Guidance

905-205-15-2 The Cooperatives Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the Cooperatives Subsection of Section 905-10-15.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Agricultural Cooperative

The Agricultural Marketing Act of 1929 defines a cooperative association as any association in which farmers act together in processing, preparing for market, handling, and/or marketing the farm products of persons so engaged, and also means any association in which farmers act together in purchasing, testing, grading, processing, distributing, and/or furnishing farm supplies and/or farm business services. Provided, however, that such associations are operated for producers or purchasers and conform to one or both of the following requirements:

- a. No member of an agricultural cooperative association is allowed more than one vote because of the amount of stock or membership capital he may own therein.
- b. The association does not pay dividends on stock or membership capital in excess of 8 percent per year.

In addition to meeting either of the requirements in this paragraph, the association shall not deal in farm products, farm supplies, and farm business services with or for nonmembers of an agricultural cooperative in an amount greater in value than the total amount of such business transacted by it with or for members. All business transacted by any cooperative association for or on behalf of the United States or any agency or instrumentality thereof shall be disregarded in determining the volume of member and nonmember business transacted by such association.

Member of an Agricultural Cooperative

A member of an agricultural cooperative is an owner-patron who is entitled to vote at corporate meetings of an agricultural cooperative.

Nonmember of an Agricultural Cooperative

A nonmember patron is not entitled to voting privileges. A nonmember patron may or may not be entitled to share in patronage distributions, depending on the articles and bylaws of the agricultural cooperative or on other agreements.

Patrons

Any individual, trust, estate, partnership, corporation, or agricultural cooperative with or for whom a cooperative does business on a cooperative basis, whether a member of an agricultural cooperative or nonmember of an agricultural cooperative.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

Cooperatives

905-205-45-1 Agricultural cooperatives may use other terms for earnings, such as margins, net proceeds, or savings.